Rise in prices is inflation. Seen another way, inflation is essentially the measure of reduction in the value of money. If money stock goes up without increase in GDP or less increase in GDP with the velocity of money remaining unchanged, the economy would witness inflation or reduction in value of money to bring equilibrium back in GDP, money and velocity of money. If the money stock goes up and the GDP also goes up correspondingly without the velocity of money changing, there is unlikely to be any inflation, which will continue to maintain stability of money. If the stock of money goes up but the velocity of money comes down correspondingly, even if there is no change in GDP, there is unlikely to be any inflation.

Currency Notes Make Up One-Seventh of Money in India

At the end of financial year 2019–20, total ‘currency in circulation’ or CIC was Rs 24.47 lakh crore. Of this, Rs 0.98 lakh crore was in the form of cash with banks. Therefore, the currency with the public was Rs 23.50 lakh crore.

At the end of 2019–20, banks held Rs 5.44 lakh crore as bankers’ deposits with RBI, largely to comply with the obligation of cash reserve ratio (CRR). In addition, there were ‘other deposits’ with RBI amounting to Rs 0.39 lakh crore. These two types of deposits with RBI added to the currency in circulation, amounting to Rs 30.30 lakh crore, was the stock of reserve money in India.

Finally, demand deposits (which the depositor can withdraw any time without any notice to the banks; mostly balances in current accounts) were Rs 17.38 lakh crore and time or fixed deposits (which can be usually withdrawn only at the end of the term) were Rs 126.74 lakh crore.

Broad money is a measure of currency and deposits of the public. This measure excludes the cash held by banks and the deposits of banks with RBI. Narrow money is currency with the public and demand deposits (the